

VAT Handling for Platform Invoices

As of Aug 9, 2026 · Entity: USA (Delaware) · Prerequisite for the first real invoice · not a substitute for tax advice

Question no. 1 for the advisor (US + EU practice), in writing: Does the operational activity carried out from Germany constitute a **fixed establishment** for VAT purposes? If yes, the entire logic of this document flips toward German VAT registration (19% to German customers, filings). Everything below assumes: **no EU establishment**.

1 • Situation

CompliHub360 (US/Delaware) invoices **providers** (B2B: tax firms, legal/compliance service firms) via the monthly Stripe invoice run in EUR: lead fees (€120), partner subscriptions (€149/mo or €1,490/yr), detail opens (€3) — electronically supplied B2B services. Phase-1 customer base: Germany + EU, later UK/TR. Later: Assistant Pro (B2C subscription, parked).

2 • Assessment: US entity without EU establishment — B2B is SIMPLER

B2B services are deemed supplied where the recipient is established (Art. 44 EU VAT Directive); with a third-country supplier, the EU business customer self-accounts:

Customer class	Our invoice	Mechanics
German providers	0% — reverse charge (§ 13b UStG)	customer self-accounts (+ input VAT deduction); NO German registration required
Other EU providers	0% — reverse charge (Art. 196)	B2B evidence via VAT ID
UK providers	0% — reverse charge (UK)	analogous
US customers (later)	state sales tax per state	Delaware: no sales tax; monitor economic-nexus thresholds

Dropped vs. a German-entity setup: German VAT returns, EC Sales List (ZM), small-business scheme. **Remains mandatory:** substantiating the customer's business status (VAT ID at intake + validation) —

otherwise B2C rules apply — and the reverse-charge note on every invoice (German customers: "Steuerschuldnerschaft des Leistungsempfängers, § 13b UStG").

3 • The Two Real Risks

a) Fixed establishment in Germany — if effectively operated from Germany (staff, infrastructure, decisions), German tax liability may arise. A question of facts → written advisor assessment **before** go-live.

b) B2C / Assistant Pro — electronically supplied services to EU consumers are taxable for third-country suppliers **from the first euro** → **non-Union OSS registration BEFORE the first paying EU consumer**. Assistant Pro must not simply be "switched on".

4 • Options

Option	Mechanics	Cost / risk
A • Stripe Tax (<i>recommendation</i>)	Detects B2B per invoice (VAT-ID validation against VIES/HMRC), applies reverse charge / zero-rating + mandatory notes, monitors registration thresholds (EU B2C, US states, UK)	Effectively €0 in phase 1 — 0.5% applies only where tax is calculated; pure reverse-charge operation calculates none
B • Manual	All invoices 0% + RC note, ID checks at intake, threshold monitoring by hand	Defensible in pure B2B — but no safety net against the B2C/nexus trap, no auto-validation
C • Defer	Status quo (sandbox)	Only until invoice no. 1 — even RC invoices need formally correct content

Limit of A: does not replace a qualified VIES confirmation with an evidence record (archive once per provider during vetting).

5 • Technical Implementation

- 1 • **VAT ID + billing country as mandatory intake fields** (+ `providers.vat_id`, `billing_country`) — the B2B evidence is the load-bearing pillar
- 2 • **Enrich the Stripe customer:** `tax_ids` + address → reverse-charge detection + mandatory note
- 3 • **Activate the Stripe live account on the Delaware entity** (EIN, US address — the sandbox account is independent)
- 4 • Option A only: `automatic_tax` in the invoice run + Tax permissions on the restricted key
Effort: one manageable PR + sandbox test.

6 • Recommendation & Checklist

Recommendation: Option A (Stripe Tax) — effectively free in this constellation (pure reverse-charge operation) and at the same time insurance against both real risks (the fixed-establishment switch, the B2C launch).

#	Step	Who
1	Advisor (US+EU): fixed establishment in Germany yes/no — in writing · US obligations (Delaware franchise tax, federal)	Founder

2	Activate Stripe live account on the Delaware entity (EIN, US address)	Founder
3	Enable Stripe Tax + Tax permissions on the restricted key	Founder
4	Intake fields + migration + customer sync + automatic_tax in the run	Engineering (PR)
5	Sandbox test: German provider (§ 13b note) · Italian provider (RC) · customer without VAT ID (error path)	Engineering
6	Before launching Assistant Pro: non-Union OSS registration	Founder + advisor

Sources: stripe.com/tax/pricing · docs.stripe.com/tax/invoicing/tax-ids · docs.stripe.com/tax/supported-countries/european-union
· EU VAT Directive Art. 44/196 · § 13b UStG

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